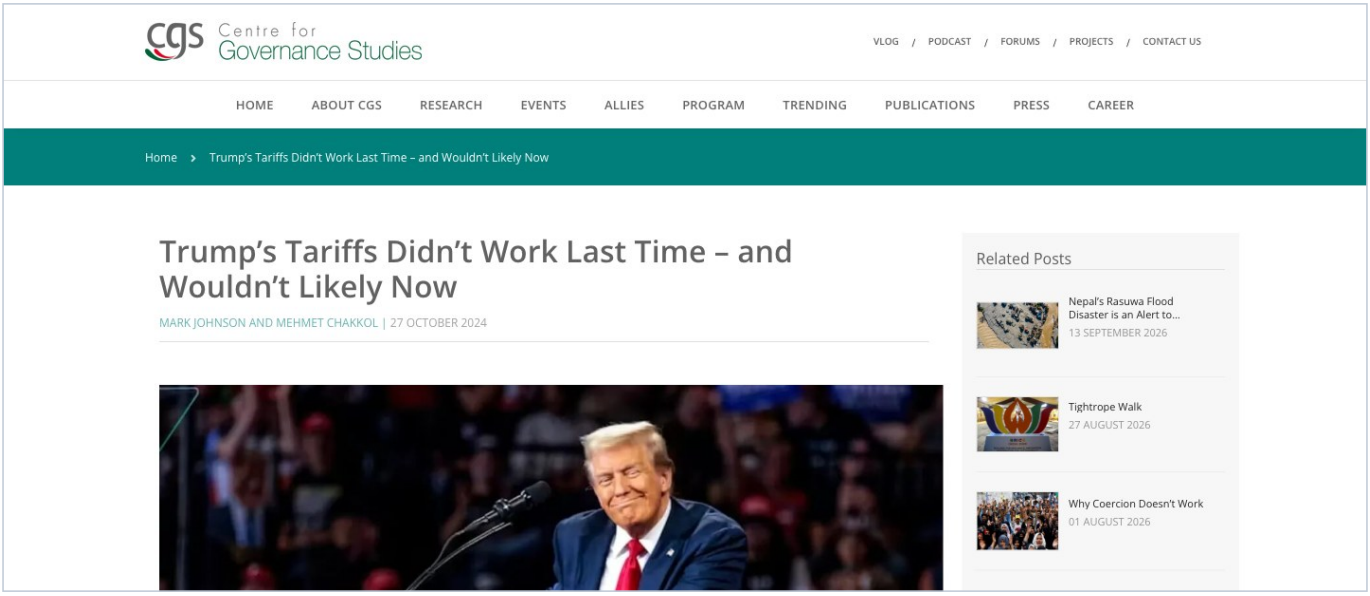
Centre for Governance Studies (Bangladesh), from Asia Times

«Trump's Tariffs Didn't Work Last Time – and Wouldn't Likely Now»

27 October 2024 · English · By Mark Johnson and Mehmet Chakkol (from Asia Times). Not named; reports the study.

https://cgs-bd.com/article/24893/Trumps-Tariffs-Didnt-Work-Last-Time-and-Wouldnt-Likely-Now

Research. Chakkol, M., Johnson, M., Karatzas, A., Papadopoulos, G. and Korfiatis, N. (2024). Making Supply Chains Great Again: Examining structural changes to US manufacturing supply chains. *International Journal of Operations and Production Management*, 44(5), 1083-1108.



This is familiar ground for Trump, who showed he was fond of tariffs during his 2017-2021 presidency. Back then, he claimed his policy would address the trade imbalance with China, bring manufacturing jobs back to the US and raise revenues.

Tariffs were then imposed on a wide range of goods, from imported steel and aluminum to solar panels and washing machines.

But did they work? Our research suggests not.

In fact, we found that imposing tariffs actually made the US even more reliant on foreign suppliers – and failed to stimulate the domestic job market. They also raised costs for US consumers and provoked retaliatory tariffs from trading partners including China, the EU, Canada, Mexico, India and Turkey.

China for example, responded by trebling tariffs on American cars. The EU filed a dispute with the World Trade Organization and substantially raised tariffs on US exports including Harley Davidson motorcycles, jeans and bourbon whiskey.

And Trump's tariffs did not lead to a boost for US manufacturing either. After tariffs were imposed, our research shows US manufacturing supply chains evolved to have fewer suppliers – but it was often US firms that got forced out of those supply chains, not their competitors from overseas.

We found that US manufacturers appeared to reduce their global reach, while actually increasing their dependence on a select few foreign companies – further evidence that Trump's tariffs failed to produce the intended outcome.